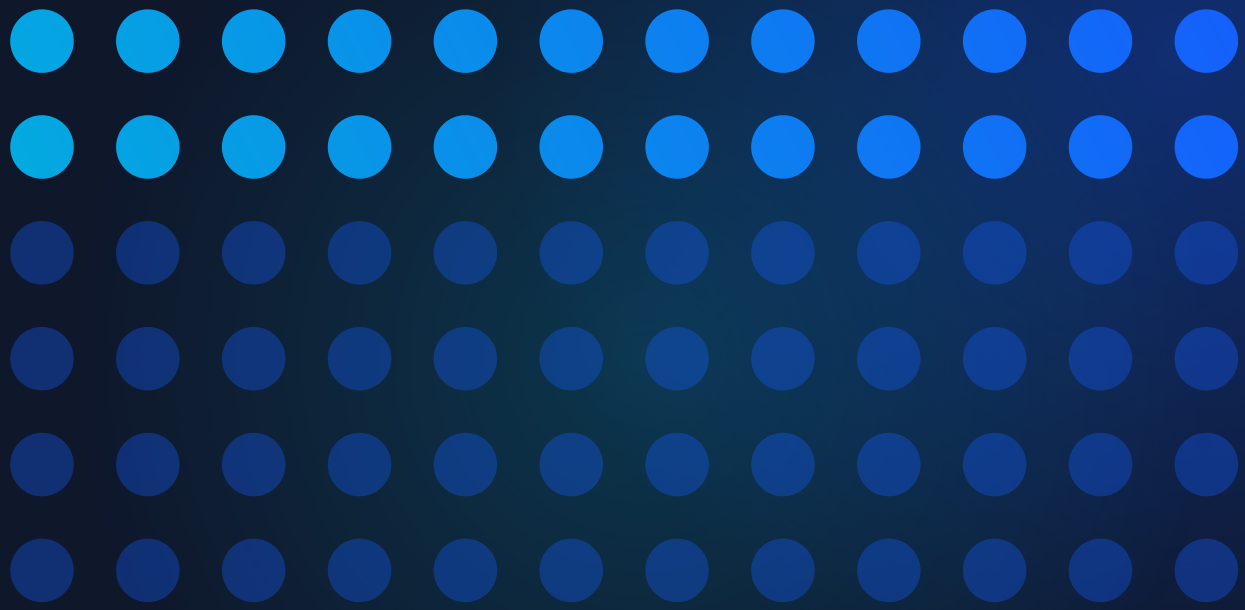
TRANSPUTEC

REGULATION BRIEF · OCT 2026



HOUR 1 → 24 · TELL THE REGULATOR

HOUR 72 · FULL REPORT

Your MSP is about to be regulated.

The Cyber Security and Resilience Bill puts a 24-hour clock on managed IT providers. What it means for the businesses that depend on them.

TRANSPUTEC RESEARCH

SAMPLE EDITION

ABOUT THIS REPORT

A Bill, not yet an Act. Read it that way.

Parliament is still amending this legislation. We read the text as amended on report in the Lords, published on 26 October 2026, and say plainly what could still change.

PRIMARY

The Bill itself

HL Bill 62, as amended on report, read through Parliament's Bills API. The public bill page was blocked to our tools, so we used the same data from the official interface.

PRIMARY

Hansard and GOV.UK

Lords Report stage of 26 October 2026, and the Government's factsheets and impact assessment, which describe the Bill as introduced.

PRIMARY

Cyber Security Breaches Survey

DSIT and Home Office, 30 April 2026, for the supplier-review figures.

NOT READ

What we did not use

Explanatory Notes, library briefings, regulator guidance. We found no guidance aimed at managed service providers yet.

NOT LEGAL ADVICE

This is a plain-English reading of public documents by a technology provider. Take legal advice before relying on it for a contract or a compliance decision.

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CONTENTS

Inside.

Executive summary 04

01 Where the Bill stands 05

The journey so far 06

02 Who is in scope 07

03 The 24-hour clock 08

What it costs to get wrong 09

04 What it means for you 10

05 The supplier-risk gap 11

06 What we do not know yet 12

Sources and method 13

EXECUTIVE SUMMARY

Managed IT providers are about to join the rulebook.

24h

hours to tell the regulator that a significant incident has happened[1]

72h

hours to file a full report with the Information Commission[1]

£17m

or 4% of turnover: the higher maximum penalty, whichever is greater[1]

788

providers expected in scope, the Government's central estimate out of 12,867[2]

What the Bill does

It amends the Network and Information Systems Regulations 2018 to cover managed service providers: firms that remotely manage a customer's IT. They must manage security risks, register with the regulator, report significant incidents on a 24 and 72 hour clock, and tell affected customers.[1,2]

What it means for buyers

Customers should hear about a serious incident at their provider sooner and more reliably. But the duty to tell customers has no fixed deadline, the thresholds are still to be set, and the Bill gives customers no right to compensation.[1]

Our view: a provider that already works to ISO 27001 will find the duties familiar. The 24-hour clock is the real change.

NOT YET LAW

Lords Third Reading is listed for 2 November 2026. The Commons then considers the Lords' amendments. No Royal Assent date or commencement date has been published.

Sources: 1 Cyber Security and Resilience (NIS) Bill, HL Bill 62 as amended on report. 2 Government impact assessment (updated).

CHAPTER 01 · WHERE THE BILL STANDS

2 Nov

is when the House of Lords is listed to give the Bill its Third Reading. After that, the Commons must consider the Lords' amendments.[1]

Close.
But not law yet.

01

01 · WHERE THE BILL STANDS

The journey so far.

12 NOV 2025

First reading

The Bill is introduced in the Commons.[1]

6 JAN 2026

Second reading

The Commons debates the principle of the Bill.[1]

FEB 2026

Committee

A Public Bill Committee sits in February to examine it line by line.[1]

14 MAY 2026

Carried over

The Bill is carried over into a new session and reintroduced.[1]

16 JUN 2026

Commons completes its work

Report stage and Third Reading in a single day. The Bill passes to the Lords.[1]

14 JUL 2026

Lords second reading

Peers debate the Bill. Ministers describe bringing large and medium managed service providers into scope.[1]

SEP 2026

Grand Committee

Detailed Lords scrutiny on 1, 3 and 7 September. Substantial new material is added, including national-security directions.[1]

26 OCT 2026

Lords report stage

Further amendments. The Lords sitting ended partway through the Commencement clause.[1]

2 NOV 2026

Third reading (listed)

Then back to the Commons to consider the Lords' amendments, and Royal Assent.[1]

Source: 1 UK Parliament Bills API and Hansard (Lords, 26 October 2026). The 2 November date is a listed sitting, not an outcome.

02

02 · WHO IS IN SCOPE

If you remotely manage someone else's IT.

The Bill defines a relevant managed service provider by what it does and how big it is.

IN SCOPE

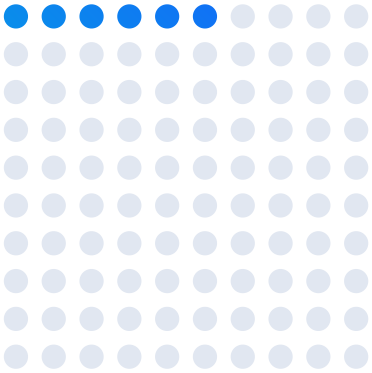
- Remote support and help desk
- Managed security: SOC, SIEM, firewall management
- Managed cloud
- Ongoing monitoring and administration of customer systems

Examples from the Government factsheet.[3]

OUT OF SCOPE

- Software sold as a product
- Install-only projects
- Pure operational-technology vendors
- Consultancies without ongoing access
- Micro and small enterprises

Small and micro providers can still be designated as critical suppliers.[1]



ABOUT 6 IN 100 UK MSPS

556–1,019

of an estimated 12,867 UK managed service providers fall in scope, central estimate 788. The assessment assumes in-scope firms employ at least 50 people in the UK and exceed €10 million turnover. The Bill itself sets no headcount or turnover figure and refers to the EU Commission's definition of small enterprises.[2]

ALSO COVERED

Data centres, at 1 MW (third-party) or 10 MW (enterprise), regulated by Ofcom. And any supplier of any size that the regulator designates as critical because an incident could significantly disrupt the economy or daily life.[1]

Sources: 1 HL Bill 62. 2 Impact assessment; Frontier Economics research (March 2025). 3 GOV.UK factsheet on relevant managed service providers.

03

03 · THE 24-HOUR CLOCK

Two deadlines for the regulator. None for you.

Today the NIS rules allow a single 72-hour notification. The Bill replaces it with a faster, two-step model for providers.

HOUR 0

The provider becomes aware

Of a significant incident affecting the systems it relies on to deliver the managed service.

WITHIN 24 HOURS

Initial notification

To the Information Commission, the regulator formerly known as the ICO: name, service and brief details. A copy goes to the NCSC at the same time.

WITHIN 72 HOURS

Full notification

Timing and duration, nature, impact including cross-border, and any upstream incident.

THEN, AS SOON AS REASONABLY PRACTICABLE

Customers are told

Those likely to be adversely affected, with the nature of the incident and why they are affected. No fixed deadline, and updates only 'as the provider considers necessary'.

ALSO REQUIRED

Register with the regulator within three months of the rules starting to apply, nominate a UK representative if based overseas, and report changes within seven days.[1] What counts as a significant incident will be set later in secondary legislation.[3]

Sources: 1 HL Bill 62, new regulations 14C to 14G. 3 GOV.UK incident reporting factsheet.

03 · THE 24-HOUR CLOCK

What it costs to get it wrong.

In each band the maximum is the greater of the two figures. Penalties consider impact, remedial steps and previous compliance.

HIGHER MAXIMUM

£17m or 4% of turnover

- Failing the security risk-management duty
- Failing to notify an incident
- Missing the 24 or 72 hour deadlines
- Failing to notify affected customers

STANDARD MAXIMUM

£10m or 2% of turnover

- Registration failures
- Failing to nominate a UK representative
- Failing to copy the NCSC
- Failing to give customers updates

£1m · £8.5m · £17m

The existing NIS maximum penalty bands today.[3]

TURNOVER

The Bill counts turnover inside and outside the UK. The precise definition is left to secondary legislation.[1,3]

Sources: 1 HL Bill 62, section 21 (new regulation 18). 3 GOV.UK enforcement factsheet. Maximums, not expected penalties.

04 · WHAT IT MEANS FOR YOU

Ask now, before it is a contract dispute.

WHAT CHANGES	WHAT DOES NOT
Your provider must manage risks to the systems it uses to serve you, proportionately and with regard to the state of the art.	You gain no statutory right to compensation.
It must tell the regulator within 24 hours of a significant incident.	Nothing in the Bill obliges you to act.
It must tell you if you are likely to be adversely affected.	Your contract and your SLA still decide what you can recover.

FOUR QUESTIONS FOR YOUR PROVIDER

- “Are you a relevant managed service provider under the Bill, and will you register?”
- “How quickly would you tell us of an incident at your end, in writing?”
- “Who would you notify besides us: the regulator, the NCSC?”
- “Which of our systems can your staff reach, and how is that access protected?”

Procurement checks are our inference from the Bill's duties, not a legal effect of the Bill.

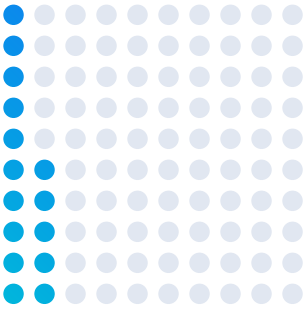
Sources: HL Bill 62, new regulations 14B and 14G; Government factsheet on relevant managed service providers.

05

05 · THE SUPPLIER-RISK GAP

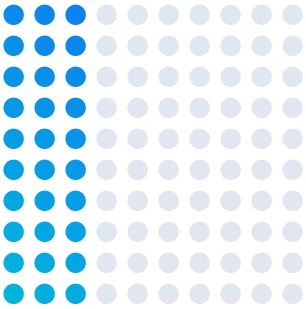
Most businesses do not check their suppliers.

The government's own survey shows how few look at the providers they depend on. The Bill puts some of that duty on the provider instead.



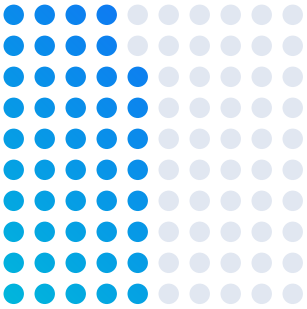
15%

of all businesses review the risks from immediate suppliers[1]



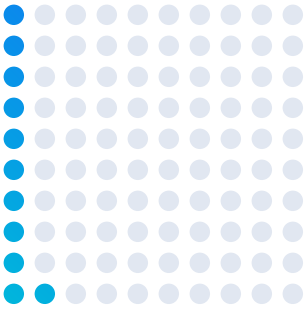
30%

of medium businesses do[1]



48%

of large businesses do[1]



11%

of businesses require suppliers to hold a certification[1]

Cyber Security Breaches Survey 2025/26, businesses. Only 6% look at their wider supply chain.

OUR VIEW

A statutory duty on providers is welcome, but it is a floor, not an assurance. The Bill tells you what your provider must do after something goes wrong. Checking what it does before is still your job, and a certification such as ISO 27001 or Cyber Essentials Plus is a sensible place to start.

Source: 1 DSIT and Home Office, Cyber Security Breaches Survey 2025/26 (30 April 2026). Medium and large businesses were also more likely to report a breach: 65% and 69%.

06 · WHAT WE DO NOT KNOW YET

Six open questions.

Royal Assent	No date is published. The Commons must still consider the Lords' amendments after 2 November.[1]
Commencement	The managed-service-provider provisions start on a day the Secretary of State appoints by regulations. None is stated.[1]
Significant incident	The thresholds that trigger reporting will be set in secondary legislation.[1]
Turnover	The precise definition for penalty purposes is left to secondary legislation.[1]
Small and micro providers	Ministers proposed a power to bring individual high-risk small providers into scope. It is a statement, not law.[1]
The text itself	The Lords has added substantial new material, including national-security directions and a provision on loss of control of an AI agent. The Bill can still change.[1]

OUR VIEW

Do not wait for the dates. A provider that can already show a tested incident process will have no scramble when they arrive.

Source: 1 HL Bill 62 as amended on report, section 69 (commencement); Hansard, Lords, 26 October 2026; GOV.UK summary of the Bill.

SOURCES AND METHOD

Where this comes from.

1 UK Parliament. **Cyber Security and Resilience (Network and Information Systems) Bill, HL Bill 62, as amended on report** (published 26 October 2026), and Bill stages. bills.parliament.uk/bills/4035, read through bills-api.parliament.uk. Hansard, House of Lords, 26 October 2026.

2 DSIT. **Cyber Security and Resilience Bill: impact assessment (updated)** and **Research on managed service providers 2025** (Frontier Economics, March 2025). gov.uk

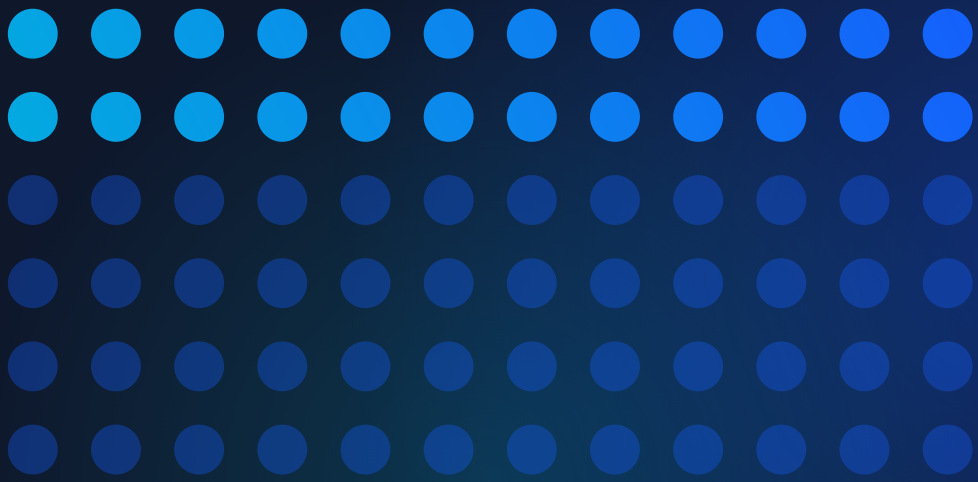
3 GOV.UK. **Cyber Security and Resilience (NIS) Bill factsheets**: relevant managed service providers, incident reporting, enforcement, summary of the Bill. Dated 12 November 2025; collection updated 19 October 2026. These describe the Bill as introduced.

4 DSIT and Home Office. **Cyber Security Breaches Survey 2025/26.** Official statistics, 30 April 2026. gov.uk/government/statistics/cyber-security-breaches-survey-20252026

METHOD NOTES

Accurate as of 27 October 2026. Quotations and figures come from the Bill text and Government documents. Where we describe what a duty means for a customer, we mark it as our inference. The Government's factsheets and impact assessment predate the Lords amendments, so figures such as the number of in-scope providers may change.

We found no regulator guidance for managed service providers on this Bill and cite none. We did not read the Explanatory Notes or parliamentary library briefings.



24 HOURS · 72 HOURS · BE READY

TRANSPUTEC

ISO 27001-certified delivery from a UK service desk.
24/7 support with incident response under SLA.

LRQA CERTIFIED · LRQA CERTIFIED ISO 14001 · CYBER ESSENTIALS CERTIFIED PLUS · OFFENSIVE SECURITY OSCP · Microsoft Solutions Partner Modern Work · Microsoft Solutions Partner Security · aws PARTNER Advanced Tier Services · CISCO Partner